



Finance Case Research Club
Team Condor



Case Study: LG Display's Restructuring Strategy

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I. Industry Overview

1. Global Display Industry Overview
2. Competitive Landscape

Global Display Industry Overview

The global display market is bifurcated into LCD⁽¹⁾ and OLED⁽²⁾, with OLED experiencing stronger growth, fueled by rising AI device adoption and scaling-driven cost efficiencies

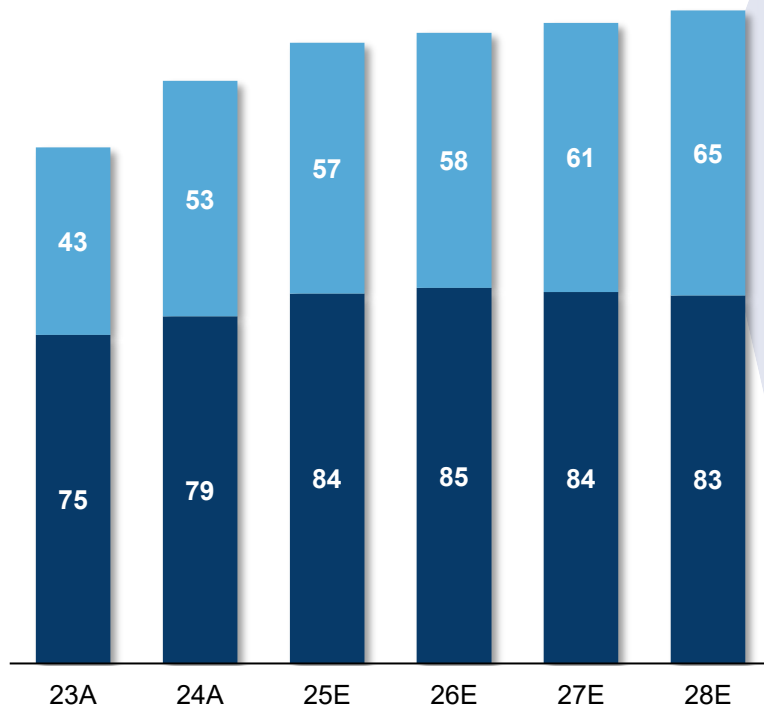
Global display market

■ OLED ■ LCD

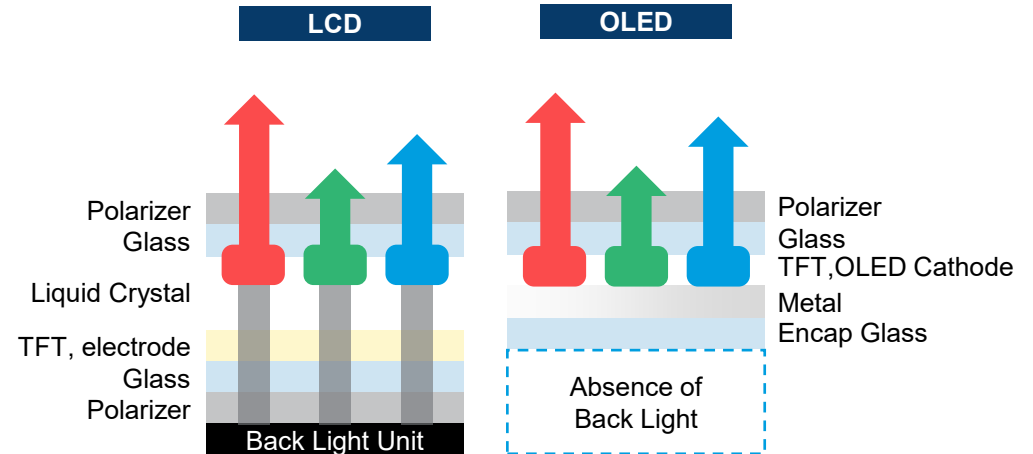
(USDbn)

8.8% Global OLED CAGR (23A-28E)

2.3% Global LCD CAGR (23A-28E)



Benefits of OLED



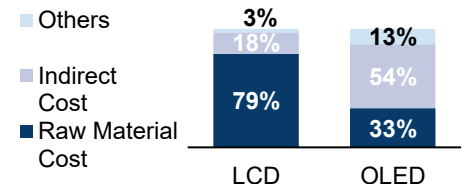
1 Greater power efficiency

- OLED outperforms LCD with lower power consumption
- This allows OLED to be well-suited for the rising AI device demand



2 Efficient cost structure

- OLED has lower raw material costs due to the absence of back lights
- With capacity expansion, OLED can reach economies of scale



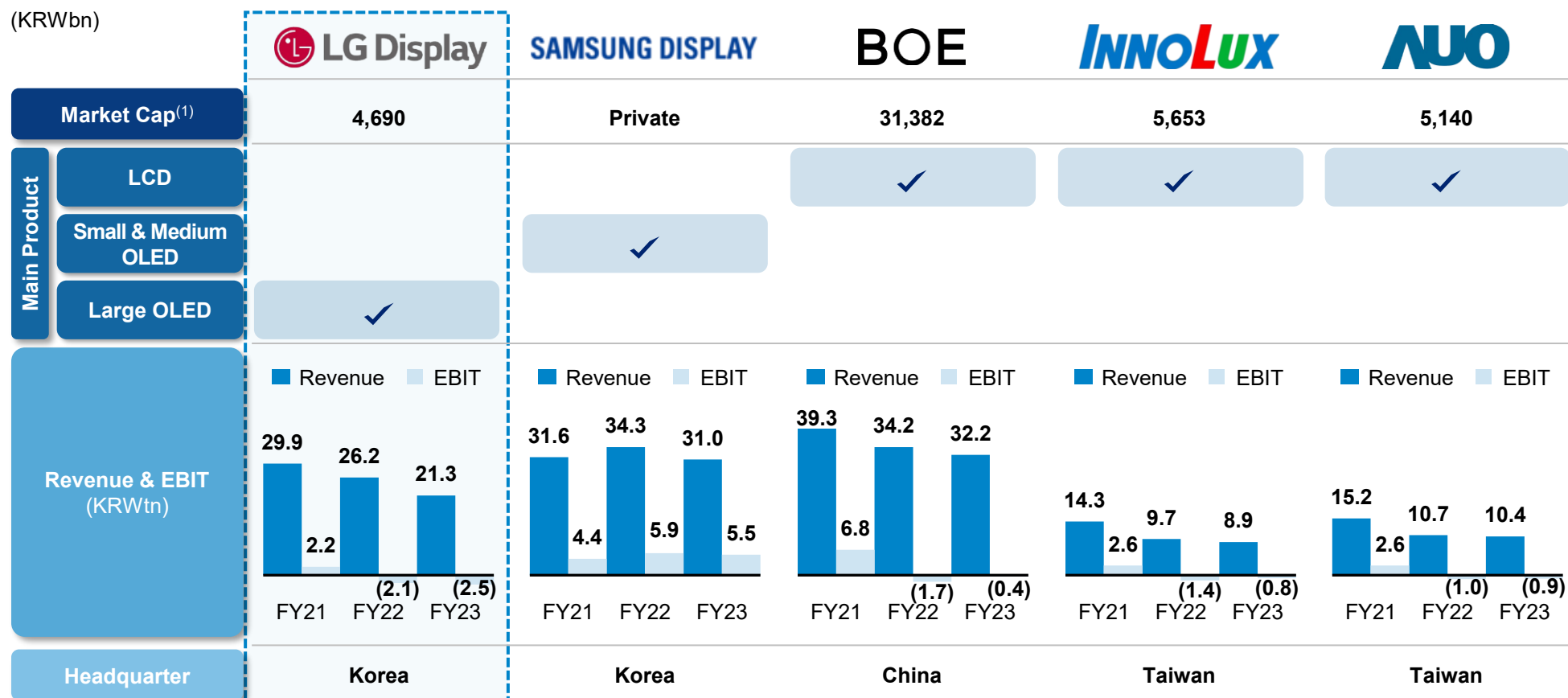
Source: Market intelligence

Notes: (1) Liquid Crystal Display; (2) Organic Light-Emitting Diode

Competitive Landscape

Korean companies primarily focus on OLED, while global competitors remain concentrated in LCD, which faces slowing growth and oversupply driven by Chinese manufacturers

Landscape of global competitors



Samsung Display is the only company achieving operating profit, not in a loss, primarily due to its strong position in the profitable OLED market

II. Company Overview

1. Company Snapshot
2. Business Overview

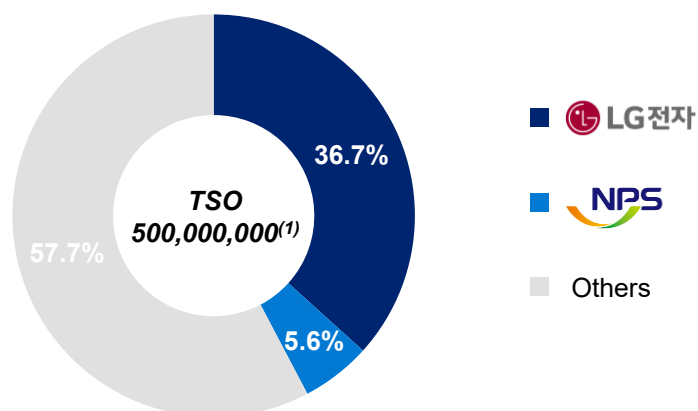
Company Snapshot

LG Display is a leading player in the global display market, supplying both OLED and LCD panels, but is currently facing financial struggles due to strategic missteps

Company profile

- LG Display (LGD or “the Company”) , founded in 1985, is a leading player in the global display market, supplying OLED and LCD panels to major set makers
- LGD operates production facilities across Korea, China, and Vietnam, with an annual production capacity of 6.6 million units as of FY24
- Marking three consecutive years of operating losses, the largest among its peers, LGD's financial burden continues to escalate
- While Samsung Display has fully exited the LCD business amid intense competition from Chinese manufacturers, LGD has only recently begun scaling back its LCD operations, marking a delayed strategic shift
- The Company recently decided to sell its TV LCD fab in Guangzhou, China, to CSOT, the 2nd largest display company in China and a subsidiary of TCL

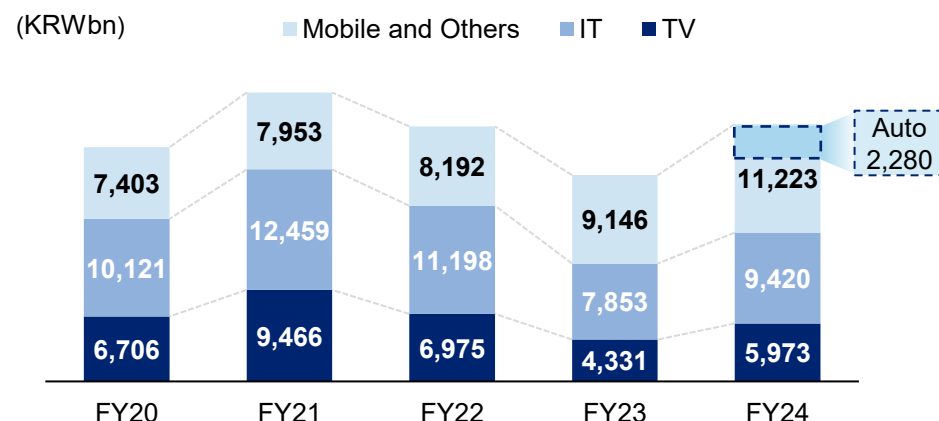
Shareholding structure



Key financials

(KRWbn)	FY20	FY21	FY22	FY23	FY24
Revenue	24,262	29,878	26,152	21,331	26,615
YoY Growth (%)	3.3%	23.1%	(12.5%)	(18.4%)	24.8%
Gross Profit	2,635	5,305	1,124	345	2,575
Margin (%)	10.9%	17.8%	4.3%	1.6%	9.7%
EBITDA	4,134	4,503	4,555	4,211	5,125
Margin (%)	17.0%	15.1%	17.4%	19.7%	19.3%
EBIT	(36)	2,231	(2,085)	(2,510)	(561)
Margin (%)	(0.2%)	7.5%	(8.0%)	(11.8%)	(2.1%)
Net Income	(76)	1,334	(3,196)	(2,577)	(2,409)
Margin (%)	(0.3%)	4.5%	(12.2%)	(12.1%)	(9.1%)
Total Assets	35,066	38,155	35,686	35,759	32,860
Total Liabilities	22,335	23,392	24,367	26,989	24,787
Net Debt	10,011	9,947	14,695	15,250	12,586

Revenue breakdown



Business Overview

LG Display operates in four segments—IT, Mobile, TV, and Auto—with success in IT and Mobile dependent on strengthening its position as a key supplier to Apple

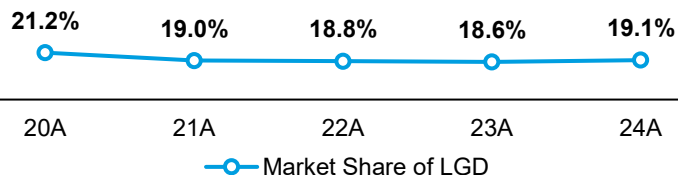
01

IT

Monitor, Laptop, Tablet



- LGD is driving high-end IT display sales with a focus on **OLED and IPS** technologies
- Currently supplies panels for the **11 and 13-inch iPad Pro** models

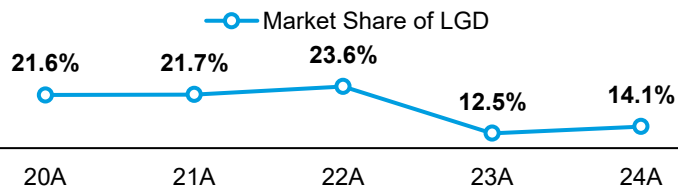
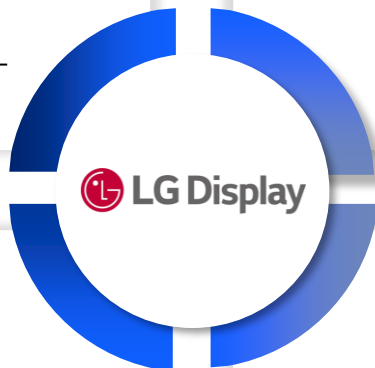
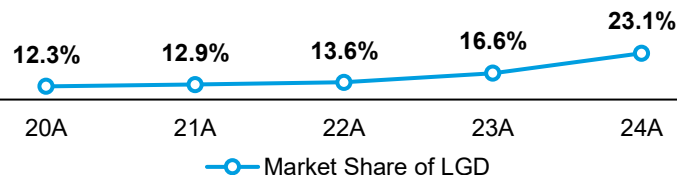


Mobile

Smartphone, Watch

02

- Market share surged as **OLED panel supply to iPhones** increased from 12% in 3Q23 to 30% in 3Q24
- The new CEO, appointed in Dec 2023, **solidified Apple as a key customer** by establishing the Strategic Customer(SC) division

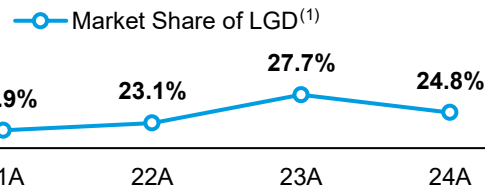


- After exiting LCD TV business, LGD is **focusing on OLED**, securing over 90% of the OLED TV market share
- However, it is **losing market share** in the overall TV display market as OLED TV demand lags behind thriving mini-LED products

03

TV

OLED TV



- **No.1 player** in the premium automotive display market
- However, **China is catching up fast**, supplying panels to its expanding EV and self-driving car markets.



Auto

Automotive Display

04

III. Restructuring Overview

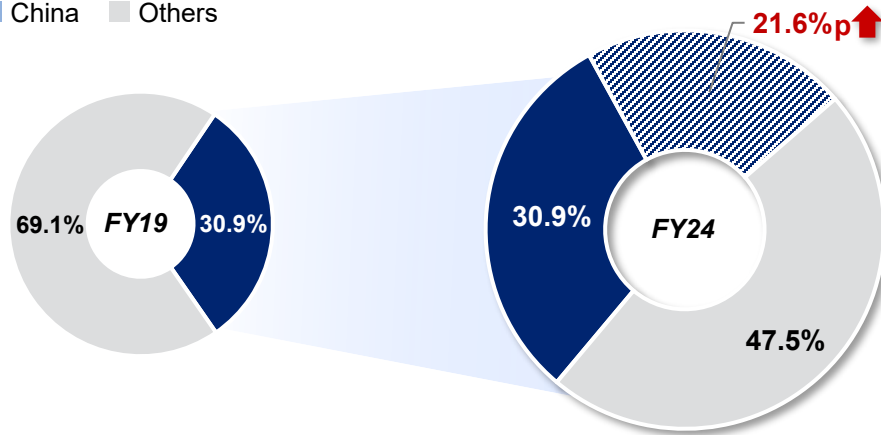
1. Overview of LGD's Current Financial Struggle
2. Overview of LGD's Restructuring Plan
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Overview of LGD's Current Financial Struggle

As Chinese competitors expand market share through cost advantages, LG Display is losing ground, especially in the LCD market, evidenced by its surging net debt in recent years

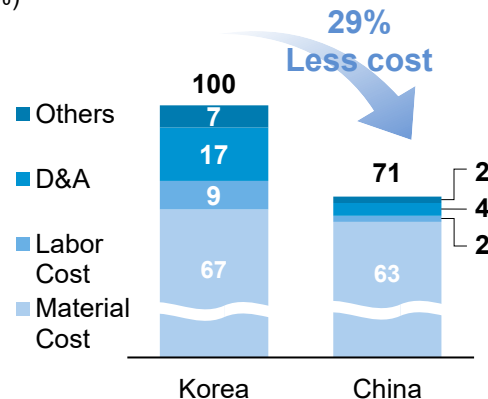
Rising display market share of Chinese companies

■ China ■ Others



Chinese display companies' cost competitiveness

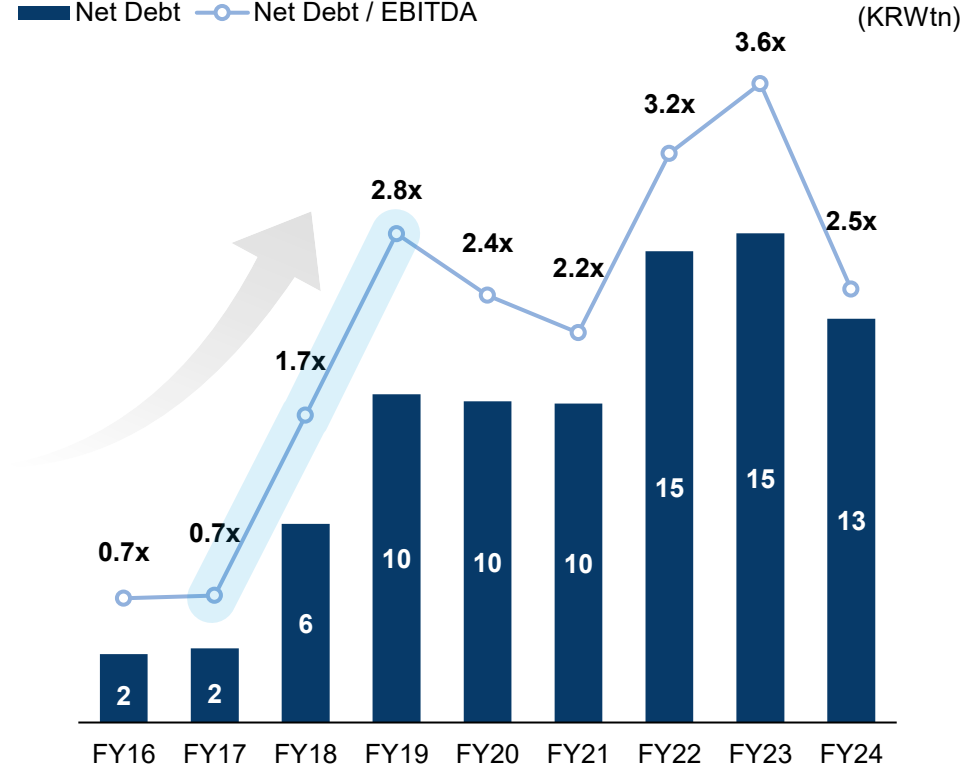
(%)



- This is primarily due to significant **support from the Chinese government**
- It provides **subsidies, interest-free loans, and tax benefits** to display companies
- This has led to **panel price drops** due to oversupply from Chinese companies

Soaring financial burden of LGD

■ Net Debt — Net Debt / EBITDA



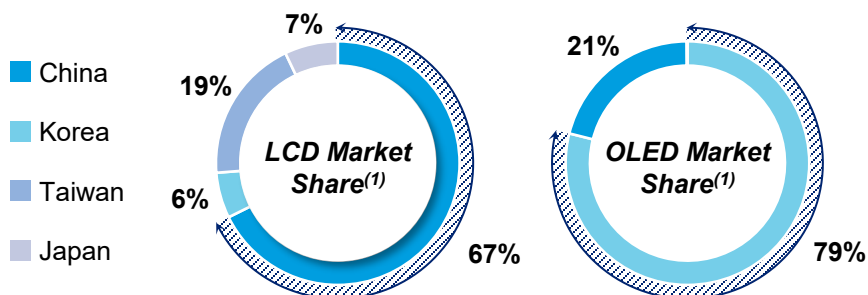
Net debt has risen 5.9x in 8 years, with the sharpest increase from FY17 to FY19 due to the LCD panel price drop amid Chinese competition

Overview of LGD's Restructuring Plan

To navigate these challenges, LG Display has launched a restructuring plan focused on accelerating its OLED transition to enhance profitability and strengthening its financial structure

Improving profitability

1 Restructuring portfolio to focus on OLED



To avoid the highly competitive commoditized LCD display market, LGD is focusing on OLED and high-end LCD

2 Cost structure innovation

General

Yield and quality innovation

Raw material cost

Procurement cost reduction

Labor cost

Organizational efficiency

Expenses

Operation optimization



Improving financial structure



Sales of non-strategic LCD-based assets

- Domestic: Sell idle assets at the closed LCD Fab and unused real estate in Paju
- Overseas: Sell LCD TV plant in Guangzhou, China



Enhance financial ratios through equity raising

(KRWbn) ■ Equity

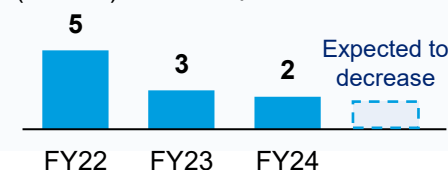


- Raised KRW1.2tn in Mar 2024
- Proceed of KRW0.4tn will be allocated for debt repayment



Improve investment efficiency

(KRWtn) ■ CapEx



- Maximize the use of existing infrastructure
- Proceed prudently with new expansion investments

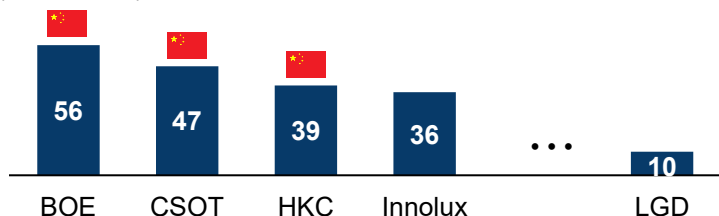
Overview of LGD's Sale of Guangzhou LCD Plant

LG Display's OLED transition, highlighted by the KRW2tn sale of its Guangzhou LCD plant to CSOT, is driven by deteriorating TV LCD profitability and is expected to ease its financial burden

Strategic rationale of the sale

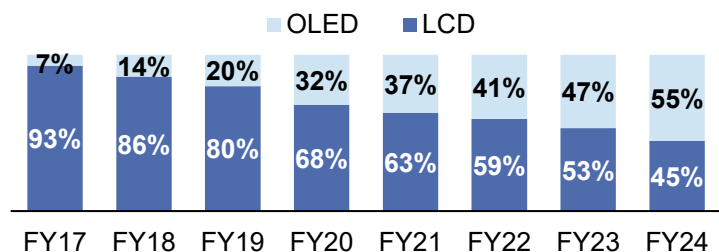
1 LCD TV panel shipment volume⁽¹⁾

(Million units)



LGD **lost market share** in the LCD TV panel market due to Chinese peers' aggressive low pricing, ultimately leading to its **exit solidified by selling its Guangzhou LCD fab**

2 OLED vs LCD sales mix of LGD



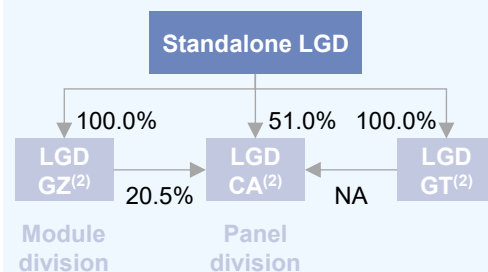
The fab sale will improve efficiency to focus on the **LGD's shift toward OLED** business and **stabilize its financial position**

Breakdown of the sale

Timeline of LGD's LCD business

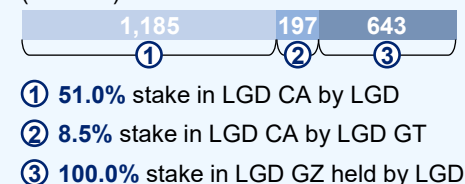
- 2014 Completed construction of Guangzhou 8.5G LCD fab
- 2015 Became the 1st in the industry to surpass 500mn large-area LCD shipments
- 2019 BOE ranked No.1 in TV LCD panel shipments
- 2022 Ceased domestic production of LCD TV panels
- ★ **Sep 26, 2024**
BoD resolved to sell the Guangzhou LCD fab to TCL CSOT on Mar 31, 2025

Current shareholding structure



Deal breakdown

(KRWbn)



- ① 51.0% stake in LGD CA by LGD
- ② 8.5% stake in LGD CA by LGD GT
- ③ 100.0% stake in LGD GZ held by LGD

KRW2,026bn sales proceeds expected, 16.1% of net debt⁽³⁾

Prospects on LGD's performance

The next OLED boom will be driven by Apple's adoption of OLED in IT products, positioning LG Display as the biggest beneficiary among its peers

Next OLED boom driven by IT products

Market share expected to increase

Apple's IT OLED adoption timeline

Product	Size	24A	25E	26E	27E	28E	29E
iPad Mini	8.4"						
iPad Air	11"						
	13"						
iPad Pro	11"						
	13"						
Foldable	18.8"	IT OLED demand is set to surge from 2026					
	13.8"						
Macbook Air	15.5"						
Macbook Pro	14.3"						
	16.3"						

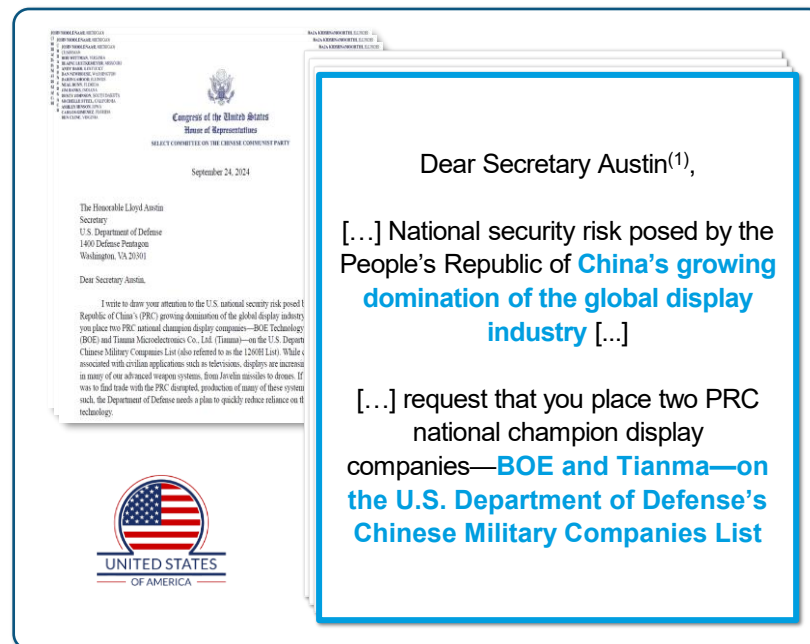


OLED adoption in IT products lags behind mobile, making **Apple's IT transition to OLED** a notable tailwind for LGD



While Samsung Display leads in iPhone OLEDs, **LGD's edge in iPad panels** positions it for greater gains.

Tightening U.S. sanctions on China's display industry



With BOE facing high U.S. sanction risks, LGD stands to gain Apple's orders